

Investment Credit Memorandum

Northstar CLO 2023-1 | Northstar Mining Services | 20 October 2023

1. Recommendation

Credit committee is asked to approve a \$6,800,000 allocation of the Northstar Mining Services first-lien term loan into the Northstar CLO 2023-1 warehouse, and to roll that position into the CLO at closing. The borrower is Northstar Mining Services, headquartered in Anchorage. The financial sponsor is Red Mesa Capital. Analyst: Ruth Kim. Committee chair: Andre Copeland. Portfolio manager: Maya Ellison, Falcon Tree Capital LLC.

Recommendation: Approve at a maximum par of \$6,800,000 (1.70% of the \$400,000,000 target CLO portfolio). The name sits inside the 2.0% single obligor concentration limit in the Northstar CLO 2023-1 indenture. Moody's corporate family rating is B2. S&P issuer credit rating is B. The loan is US dollar denominated and is eligible collateral under the term sheet dated 2 November 2023.

2. Borrower and sponsor

Northstar Mining Services operates in Metals. The company is owned by Red Mesa Capital. Neither the sponsor nor the borrower is affiliated with Falcon Tree Capital LLC.

Related book names in Northstar CLO 2023-1 include Aurora Cold Chain, Denali Health System. Those names are separate obligors and should not be aggregated for the single obligor test.

3. Facility terms

Instrument: Northstar Mining Services first-lien term loan. Spread: SOFR + 3.75% with a 0.75% floor. The credit agreement is covenant-lite. Atlantic Wharf Bank is the warehouse lender to Northstar CLO 2023-1.

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4. Credit highlights and risks

Highlights: sponsor support from Red Mesa Capital, first-lien or unitranche collateral, and an allocation inside the 2.0% obligor cap.

Risks: sector cyclicalities in Metals and add-on acquisition risk. Ruth Kim confirmed that Moody's industry classification for Northstar Mining Services is 'Metals'.

5. CLO fit and covenants

The allocation complies with the Class A/B Overcollateralization Test methodology because the loan is par-eligible and rated B2. It uses 1.70 of the 2.00 percentage-point largest-obligor covenant. Maya Ellison confirmed the trade for Northstar CLO 2023-1.

If Northstar Mining Services is downgraded to Caa1, the position would count toward the 7.5% Caa bucket in the Northstar CLO 2023-1 indenture. U.S. Bank Trust Company, N.A. would reflect that classification on the next monthly trustee report. Falcon Tree Capital LLC would then evaluate a sale during the reinvestment period.

6. Committee decision

Credit committee of Falcon Tree Capital LLC approved the \$6,800,000 purchase for the Northstar CLO 2023-1 warehouse on 20 October 2023. Voting members: Andre Copeland (chair), Maya Ellison, and Ruth Kim. The trade will settle into the Atlantic Wharf Bank warehouse and be conveyed to Northstar CLO 2023-1, Ltd. on the closing date of 16 November 2023.